

Fearnleys Dry Bulk Weekly

Jul 15, 2026

Capesize/Newcastlemax

Overall, we think the market looks bearish direction-wise. The levels seen in May could have been the peak for this year. Iron ore fundamentals do not look supportive, with June shipment growth negative year on year, still high inventories in China, and sharply declining steel mill profitability in China. Steel demand in the World ex-China is overall reported to be sluggish. Bauxite volumes are still growing, though at a declining rate, and coal is also growing compared to last year. So, not all bad, but iron ore is 2/3 of total demand.

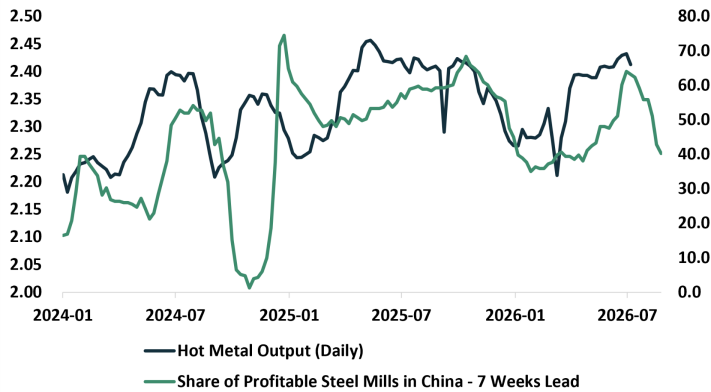
Top left chart: Steel mill profitability in China keeps worsening. Hot metal output is likely to fall in the coming weeks.

Top right chart: Shipment volumes were 5.0% higher than last year through week 28. Volume growth has improved slightly during the last few weeks. The last eight weeks, volumes were up 2.3% compared with the same period last year, vs supply growth of 1.5%.

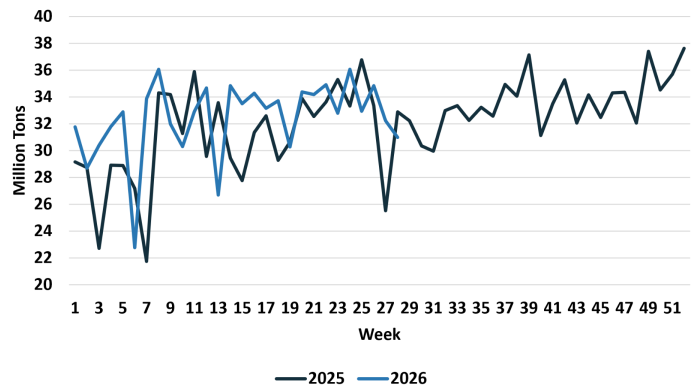
Bottom left chart: The SATI is now reading close to the longer-term average, thus not indicating anything clear in terms of near-term direction.

Bottom right chart: Iron ore inventories in China have been drawn since the peak in February, strongly suggesting the Cape/Newc market peak is behind us.

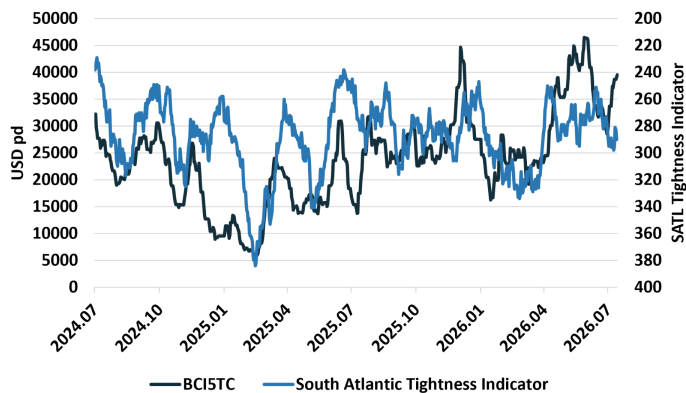
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



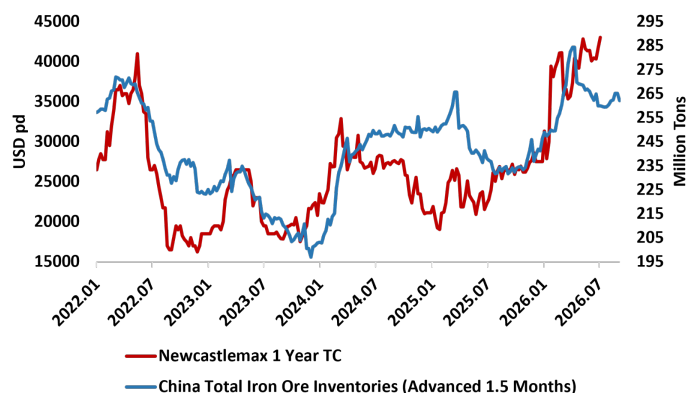
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



China Iron Ore Inventories 1.5 Month Lead vs Newcastlemax 1 Year TC



Panamax/Kamsarmax

Sideways seems most likely in the next few weeks, as suggested by the below indicators, but also by the tightly balanced gap between global shipment volume growth and supply growth. Like Capes/Newcs, we find it hard to see which factors on the demand side could push the market above the levels seen in May.

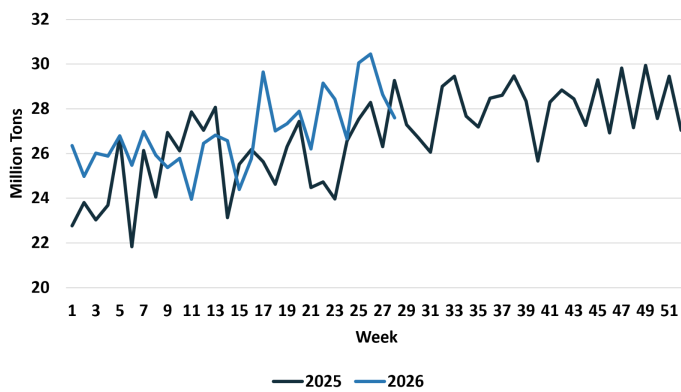
Top left chart: Shipment volumes were up 4.8% year on year through week 28. Supply growth was 4.9% at the latest reading.

Top right chart: As suggested by the curve, P5 has started an up-move now, but how strong will it be, considering that global volume growth and supply growth are tightly balanced, and that the coal futures curve has sharply dropped back into contango?

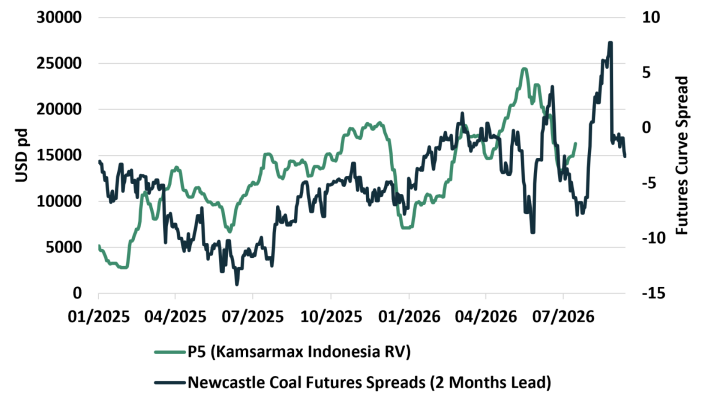
Bottom left chart: The Pacific tightness indicator suggests the market will trend sideways going forward the next weeks.

Bottom right chart: The SATL tightness indicator suggests P6 will trend sideways, then maybe soften a bit at the start of next month.

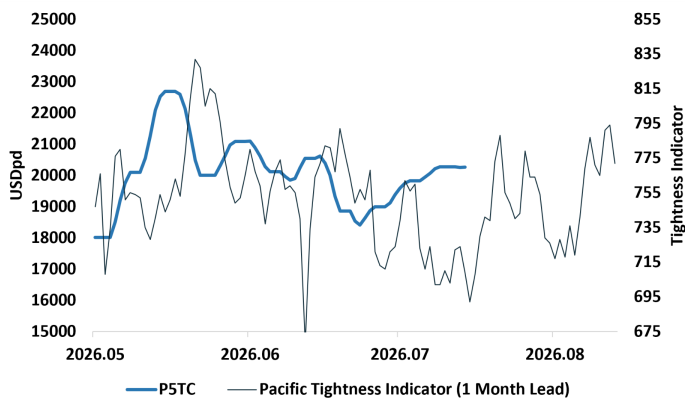
Weekly Shipment Volumes



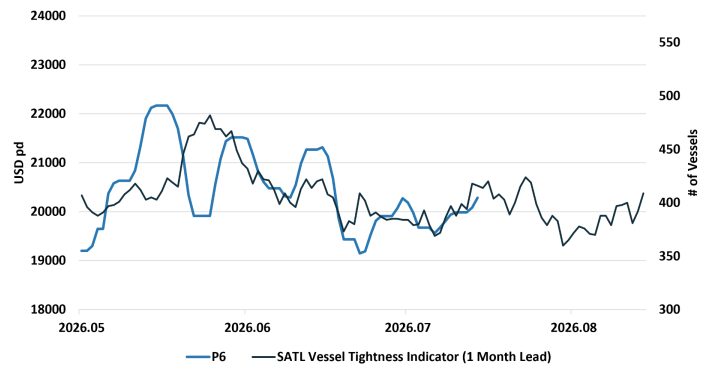
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

Industrial metal prices have been sideways to lower since the beginning of June. The Demand/Supply gap is narrow but slightly positive. The spread over the Handysize index is around the highest seen in recent years. The added bullish factor in this segment is that global discharge congestion has risen to the highest level since 2021/22 since the start of Q2, mainly because of issues in West Africa. On the loading side, congestion remains normal.

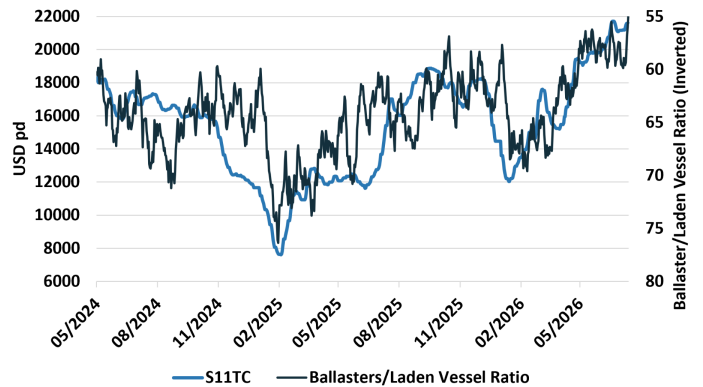
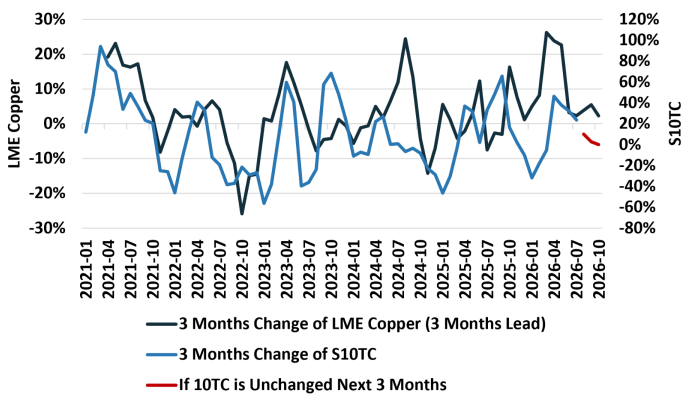
Top left chart: We added a curve to this chart showing how the 3-month change in the Supramax 10TC index would look if the market remains flat over the next three months. The 3-month change in the copper price suggests the market could rise slightly, or remain stable around current levels.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

Bottom left chart: Discharge waiting durations have increased significantly in the last few months.

Bottom right chart: Shipment volume growth was 5.7% through week 28, vs supply growth of 5.1%. Volume growth has risen above supply growth again, after briefly being below it in the second half of June.

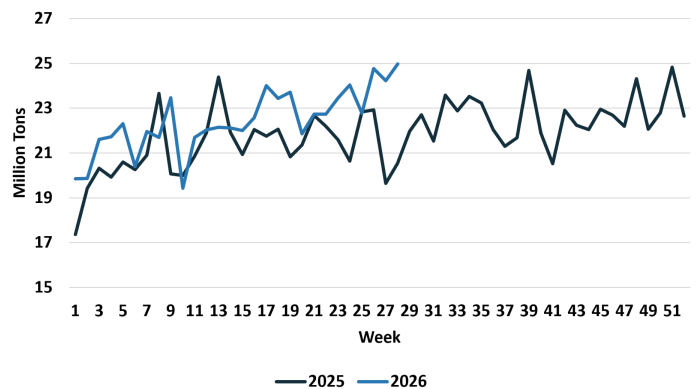
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Ultramax Discharge Congestion (global, average number of days)



Weekly Shipment Volumes





Handysize

Most likely the market will start rising again soon, supported by the rising Ultramax market and the positive demand/supply growth spread.

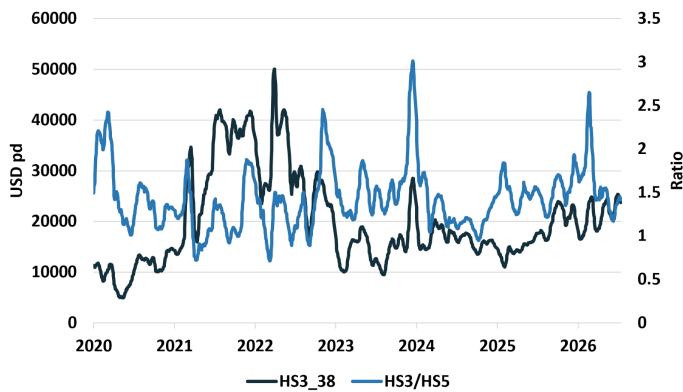
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 27, Handysize shipment volumes were 3.9% higher year on year, rising from under 3% seen about a month ago. Supply growth is 2.8%.

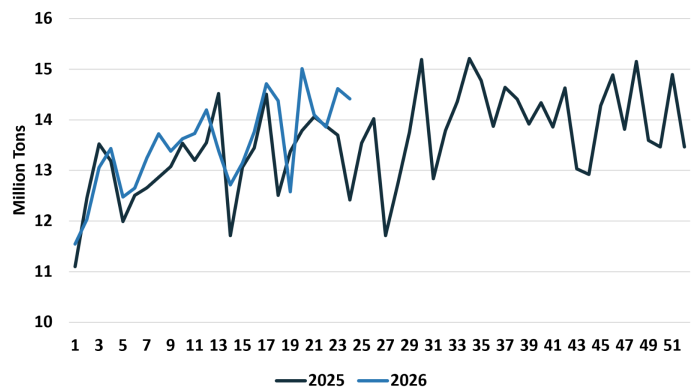
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

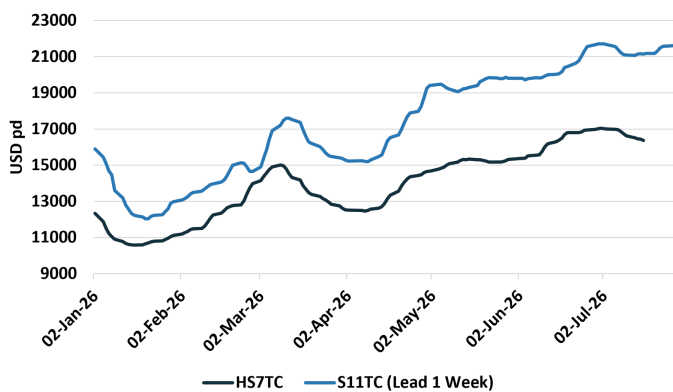
HS3 vs Ratio of HS3 and HS5



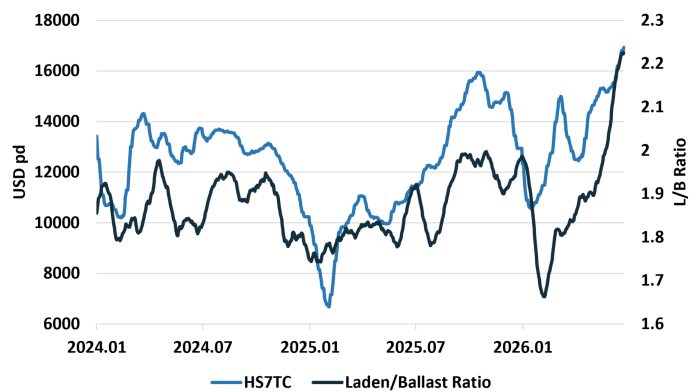
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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